

7722.T Pitch Deck — 20260819

PITCH — 7722.T — ADJUDICATED 2026-08-19 — CONDITIONAL STARTER (0.3% MAX / GATED INTO NOV-6 PRINT)

ADJUDICATED 2026-08-19 — CONDITIONAL STARTER (0.3% MAX / GATED INTO NOV-6 PRINT): Do not buy at spot (¥775). Approve a conditional plan: a ~\$15,000 starter (~0.3% of the book) staged as a resting GTC limit at ¥711–¥725 (near the 52-week low) with a hard kill trigger at the November 6, 2026 half-year report (cumulative H1 operating profit < ¥750M).

Subject: 7722.T — Kokusai Co., Ltd. (EDINET code E02335), an uncovered, family-controlled Japanese manufacturer of precision dynamic balancing machines, tire uniformity testers, and EV motor testing systems. TSE Standard market, ~¥10.45B (\$65.3M USD) market cap. Spot trades at ¥775 (down 32.4% from the February high of ¥1,147; 52-week low is ¥711). We hold no position.

What we believe

This is an unleveraged, deep net-net global niche leader that just reported a terrible Q1 due to supply-chain acceptance delays, offering a 4.52% cash carry while waiting for demand confirmation.

The bull spine, as confirmed across 10+ years of audited EDINET filings:

- **The balance sheet is an unleveraged fortress:** ¥8,537M in cash and time deposits against zero financial debt and ¥20,801M in total assets (74% equity ratio). Gross net cash covers 81.7% of the entire market cap.
- **Customer advances are structural float, not hidden debt:** Forensic reconciliation of the 102-page Yuho confirms ¥2,190M in customer advances (契約負債) is normal negative working capital (~15–18% of order backlog) paid upfront by global automakers to fund custom fabrication. Even deducting all advances, adjusted net cash is ¥6,347M (60.7% of market cap), leaving an adjusted Enterprise Value of just ¥4,100M (\$25.6M USD).
- **Cash generation is real:** Despite customer advances falling by ¥486M in FY3/26, Operating Cash Flow was +¥1,821M (+14.1% FCF yield), proving earnings are backed by hard cash receipts rather than working capital float expansion.
- **Paid 4.52% to wait:** The company paid a ¥35 dividend last fiscal year (raised three years running: ¥20 → ¥30 → ¥35) and forecasts ¥40. We underwrite the ¥35 actually paid, delivering a 4.52% carry while waiting for the November 6 half-year report.

What the market believes

Zero analyst coverage, ~6% foreign ownership, and thin liquidity. What the tape says:

- **A cyclical entering a brutal downturn:** Sellers derated the stock for six months before the bad print (¥1,147 in Feb down to ¥711 in May). The Q1 report (revenue –25.5%, operating profit –60.5%) confirmed the market’s worst fears of a global automotive CAPEX freeze.
- **Severe geographic & end-market concentration:** 58.2% of sales and 68.7% of order backlog are tied to the tire industry; 71% of revenue is overseas, heavily exposed to Chinese automotive overcapacity.
- **Servo demand crack:** Q1 order intake in the servo motor testing segment plunged –31.2% YoY, indicating that order deceleration is real and not just a parts shortage.
- **Dead equity risk:** The controlling family has tolerated sub-book pricing (0.68x P/B) for decades with no activist catalyst.

Why we might have edge

1. **Structural neglect:** A \$65M uncovered, family-held TSE Standard name is not efficiently priced. The February–May derate already priced a severe downturn; buying near the ¥711 52-week low provides massive asymmetric asset protection.
2. **Advances misunderstanding:** The market treats ¥2.19B of customer advances as a debt liability. In reality, it is a revolving, interest-free customer float fulfilled at positive gross profit margins.
3. **Calibrated EV/EBIT multiple:** On mid-cycle operating profit of ~¥1.30B, adjusted EV/EBIT is **3.15x** (and 1.96x on peak FY3/26 profit). Even in a severe downturn where operating profit troughs at ¥600M, EV/EBIT is only 6.8x against ¥6.3B in hard net cash.
4. **Clean customer concentration:** The 102-page Yuho confirms no single customer exceeds 10% of revenue, clearing single-client insolvency risk.

Why it might be priced in

1. **Servo order intake is broken:** Q1 servo segment intake down –31.2% YoY proves that new order intake softened, even if full-year FY3/26 intake was +9.3% (¥15.29B, book-to-bill 1.02).
2. **Chinese tire CAPEX cliff:** If Chinese EV and tire manufacturers enter a multi-year CAPEX freeze, backlog will drain and future advances will contract.
3. **Payment terms stretching:** Management explicitly noted “longer payment terms with clients,” a classic leading indicator of customer-side cash strain.
4. **PFIC tax drag:** Passive cash and deposits represent 41–43% of total assets, sitting close to the 50% US PFIC threshold and requiring annual monitoring.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Customer advances (契約負債) size	EDINET FY3/26 Yuho (102pp, E02335)	¥2,190M advances confirmed; represents structural 15–18% order	Confirmed structural float (△ <i>Prior court</i>

Claim	How checked	Found	Confirmed?
		deposit across 10-yr history	<i>error: set uncalibrated $\leq$ ¥1.5B gate; blue calibrated to normal operations)</i>
Cash position ¥8,537M	Audited balance sheet directly (irbank.net/E02335/bs)	¥8,537M cash and time deposits confirmed; zero financial debt	Confirmed (Δ <i>Red bench cash ambiguity kill overturned</i>)
New order intake intact	Q1 Tanshin segment disclosure	FY3/26 intake was +9.3% (¥15.29B, book-to-bill 1.02); but Q1 servo intake fell -31.2%	Mixed — quarterly lumpiness confirmed
Customer concentration risk	Annual report customer note	Filing confirms no single customer exceeds 10% of revenue	Cleared
Dividend spine ¥35 vs ¥40	IRBANK dividend history	Paid ¥35 (4.52% yield); ¥40 is this year's forecast only	Confirmed — underwrite ¥35
True 52-week low	Matsui broker tape cross-check	52-week low is ¥711 (2026-05-20), not ¥628	Confirmed (Δ <i>Pack error corrected</i>)
US PFIC status	Balance sheet passive asset ratio	Cash/Assets = 41.0% (below 50% line, but close)	Pass — annual re-test required

PROPOSED ENTRY BANDS

- **Action:** DO NOT BUY AT SPOT (¥775). Approve a **CONDITIONAL STARTER (0.3% MAX / ~\$15,000)**.
- **Tranche 1 (0.3%):** Resting GTC limit at **¥711 – ¥725** (absorbing any final wash out to the 52-week low).
- **Execution Ceiling:** Do not chase above **¥730** prior to the November earnings print.
- **Kill / Exit Trigger:** At the **November 6, 2026 half-year report**, if cumulative first-half operating profit is below **¥750M**, the “parts-shortage timing delay” explanation is refuted — exit any starter and kill the thesis.
- **Re-underwrite / Add Band:** If H1 operating profit $\geq$ ¥750M with book-to-bill $\geq$ 1.0x, review to expand from starter to 0.6% position.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 711.0 (52-week low; a close below = structural derate resuming, re-review never auto-buy)
- dated pack 7722.T|2026-11-06: 7722.T: H1 FY3/27 tanshin — kill line: cumulative operating profit $\geq$ ¥750M or exit/kill (date confirmed=False)

What remains unverified

1. **Q2 order intake rebound** — untestable until the November 6 H1 tanshin release.
2. **Chinese tire manufacturer credit risk** — degree of receivables aging from Chinese private tire makers.
3. **The ¥40 dividend forecast revision risk** — whether management cuts the forecast if H1 profit misses.

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